

officer of Yale University, argues in his book *Unconventional Success: A Fundamental Approach to Personal Investment*, that the high fees of actively managed funds eat up your returns. That's why I prefer low-cost index funds. Of course, you don't always do better with them. But even in late 2008, when index funds were down sharply, actively managed funds on average did even worse.

*Q: But what about those few fund managers who've done well year after year?*

A: Maybe they're brilliant, and maybe they're not. But before jumping to conclusions, it's worth remembering that given the number of stock funds that have been formed over the years, it would be surprising if some of them didn't do better than average for a number of years by sheer chance.

Let's talk odds for a minute. Suppose all fund managers pick their stocks completely at random. The chance that a particular fund will perform better than average (that is, better than half of all the funds out there) during any given year is 50%, or one chance in two. There's one chance in four (two times two) that this fund will do better than average for two successive years, and one chance in eight that it will be in the top half of its class for three years in a row. Do this ten times, and you'll discover that there's one chance in 1,024 that a given fund will beat the average for ten years running through sheer luck. These may sound like pretty slim odds, but with thousands of fund managers out there picking stocks, we should expect a handful of them to do better than average ten years in a row—enough to convince most anyone that they're financial geniuses even if they're in fact choosing their stocks at random.

To be fair, this doesn't prove that there aren't any mutual funds whose managers are genuine stock-picking geniuses. But even if there are, how are you going to tell them apart from the ones who've just been lucky? My advice: Don't try.

*Q: What kind of stock index fund should I invest in?*

A: Later on in this chapter I'll list some of the different mutual fund companies that offer funds based on various stock market indexes. First,